Morning — Understand AI in organizations

- What do we mean when we say "AI"?
- How AI creates business value
- Where human judgement still leads
- Case: Baidu intelligent recruitment
- Identify an AI opportunity for the group project

Afternoon — Work effectively with AI

- 4D AI Fluency Framework
  - *Delegation:* what AI should do vs. what you should do
  - *Description:* how to give AI clear context and direction
  - *Discernment:* how to evaluate AI outputs critically
  - *Diligence:* how to use AI ethically
- From prompts to agent

Goal Move beyond AI buzzwords toward clearer managerial thinking and more effective human-AI collaboration

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Introduction to AI

From vague buzzword to managerial judgment

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Outline

1

Clarify the language

What do we mean when we say "AI"? Model, applications, workflows?

2

Analyze business value

Move from "use AI" to "solve this problem in this process"

3

Stay realistic

Where AI fits well, where it does not, human-in-the-loop

4

Bridge to your project

Formulate a rough AI opportunity for group project

01

First, clean up the language

Before asking whether AI matters, we need to know what exactly we mean when we say “AI.”

Warm-up

1. In everyday conversation, "AI" may refer to a chatbot, an algorithm, a software feature, an automation workflow, or a strategic initiative.

2. That ambiguity creates weak analysis — the problem is unclear, the use case is unclear, and the expected value is unclear.

3. Managers need to ask one discipline-building question: ***what exactly is the AI here?***

When people in your organization say “AI,” what do they usually mean?

- A chatbot or conversational tool?
- A prediction model?
- Automation of a task or workflow?
- Data analytics or reporting?
- A strategy slogan or vision?

What Is AI

> *An AI system is an engineered or machine-based system that can, for a given set of objectives, generate outputs such as predictions, recommendations, or decisions influencing real or virtual environments.*

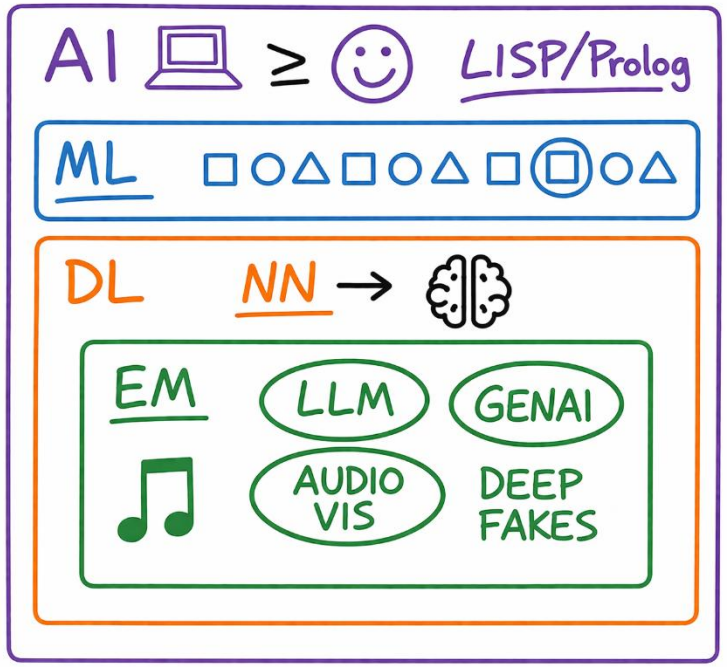
------ *Adapted from NIST AI RMF 1.0 / OECD*

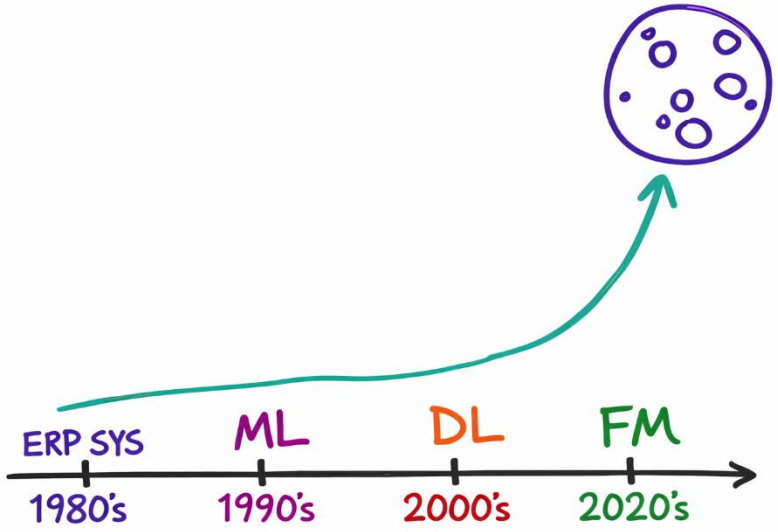
> *Artificial intelligence (AI) is a set of technologies that empowers computers to learn, reason, and perform a variety of advanced tasks in ways that used to require human intelligence, such as understanding language, analyzing data, and even providing helpful suggestions.*

------ *Google Cloud*

*AI should be discussed in relation to **objectives**, **outputs**, and **environments** – not as a magic tool.*

What Is AI





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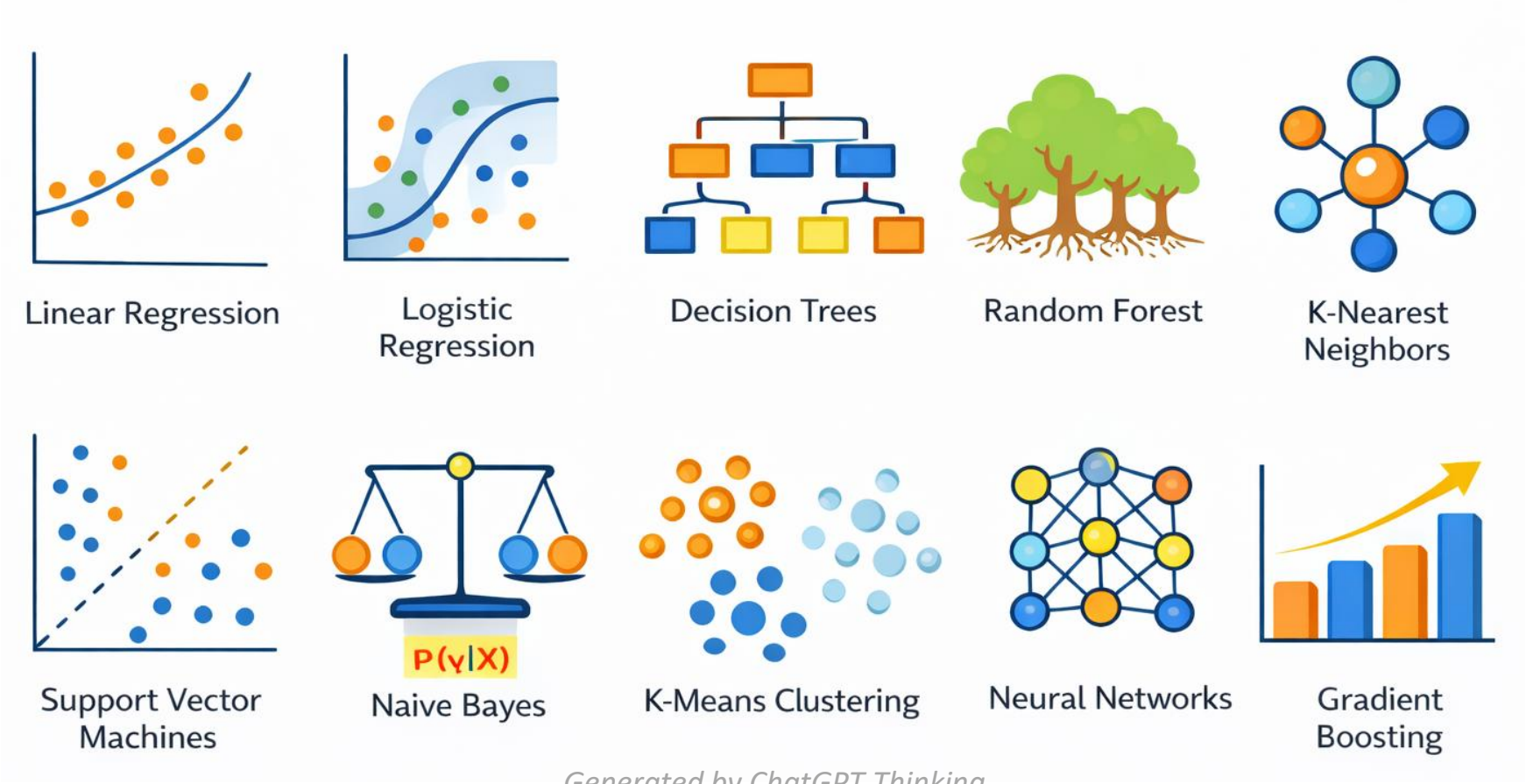
Source: [AI, Machine Learning, Deep Learning and Generative AI Explained]

Machine Learning



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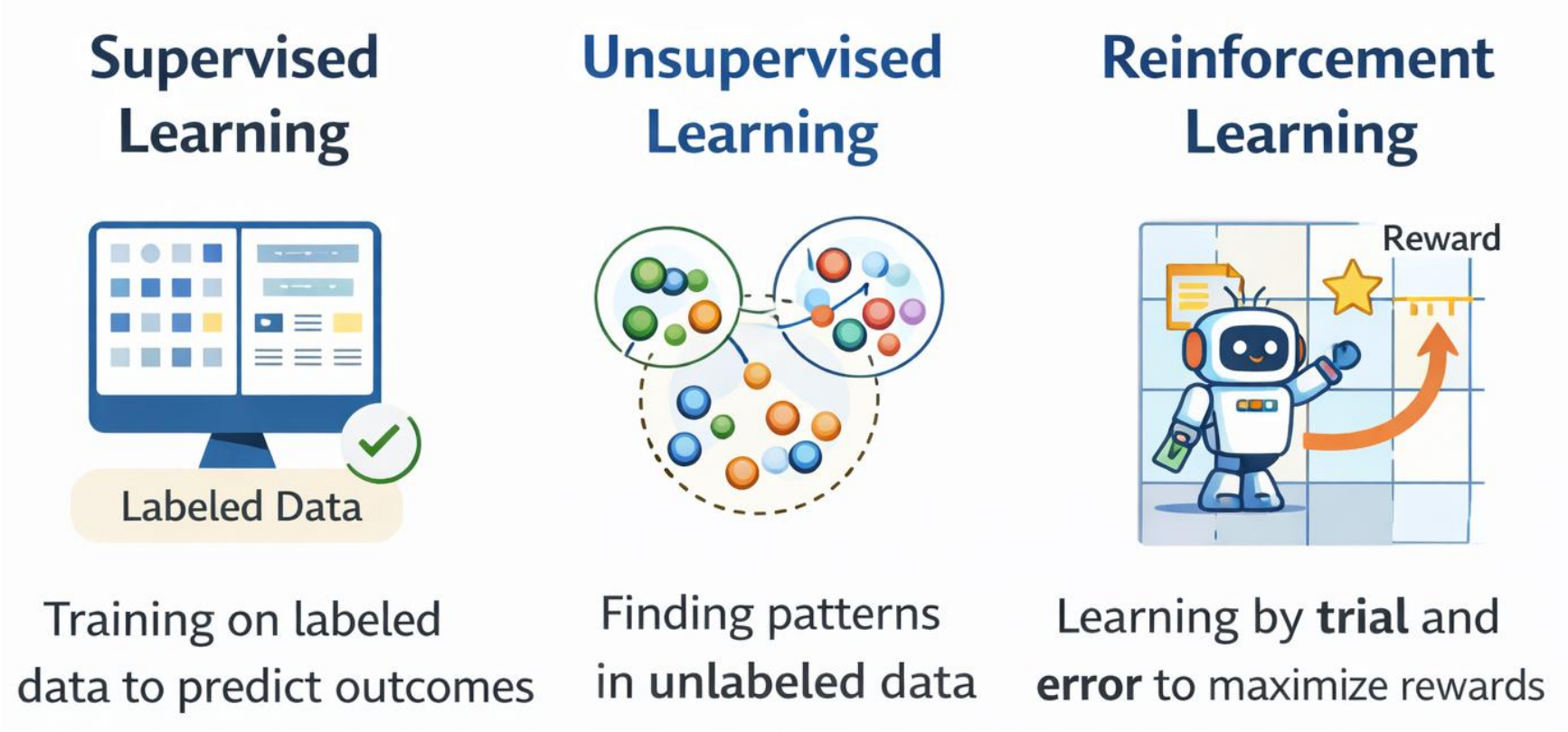
Machine Learning



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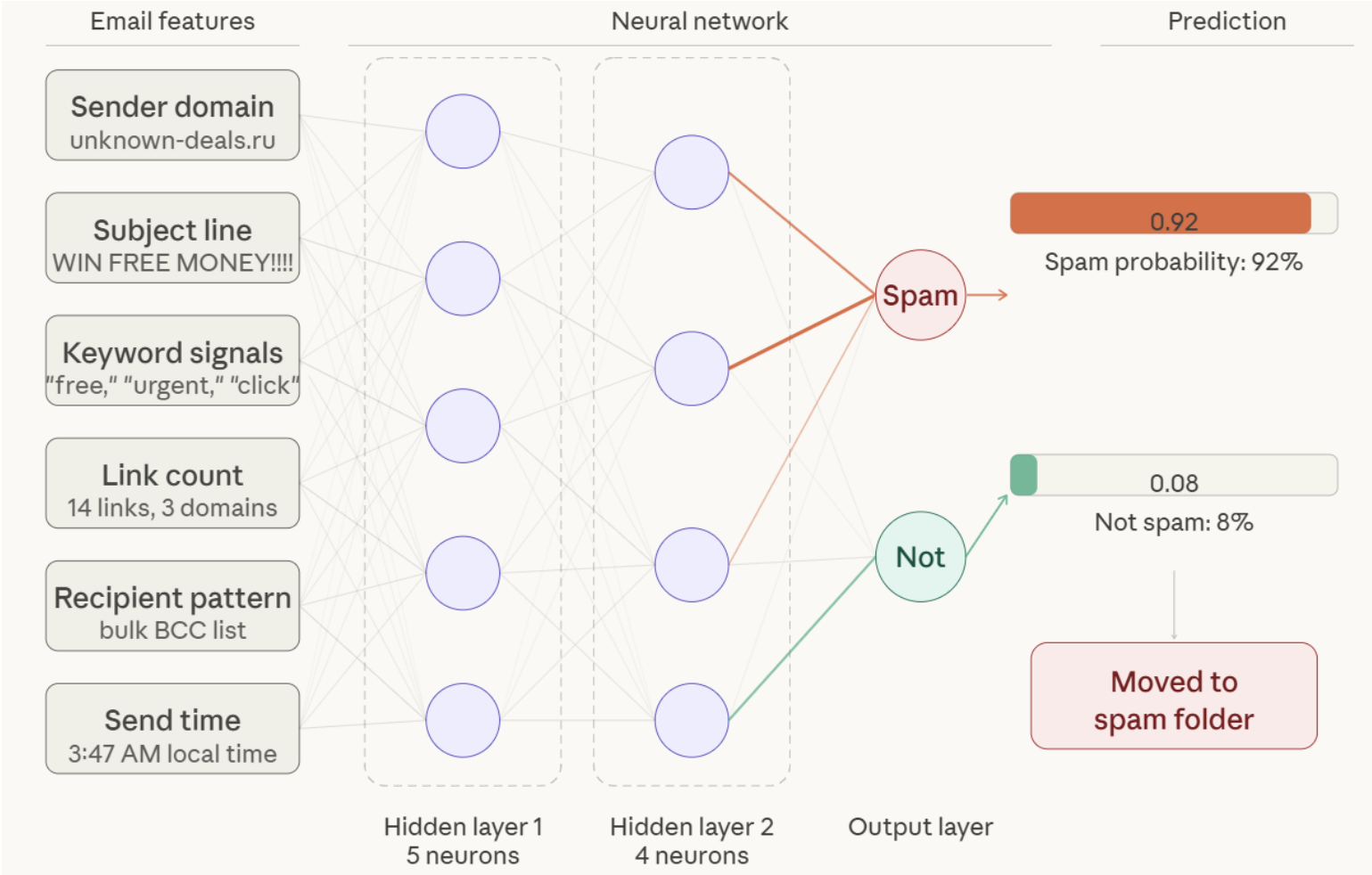
Deep Learning



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Spam Email Classification

Learning pattern from data

- How to learn?
- What pattern?

Generated by ChatGPT Thinking

A Managerial Layer View of AI

Model

The intelligence engine that generates outputs

e.g., ChatGPT 5.4, Opus 4.6

❯

Application

The tool, feature, or interface people use

❯

Workflow

The process where Ai is embedded into work

❯

Application

The result the firm cares about: speed, quality, insight, cost, or personalization

Key point

Managers rarely adopt “a model” in the abstract. They adopt an application or redesign a workflow in order to improve a business outcome.

Example: AI Chatbot

Where is the AI here?

Model

Language model produces summaries and draft responses

Application

Customer-service assistant embedded in an enterprise system

Workflow

Summarize complaints, suggest replies, route urgent cases

Outcome

Faster response, more consistency, lower workload

e.g., ChatGPT 5.4, Opus 4.6

> *A chatbot is not the strategy. The real managerial question is **how the workflow changes** and whether that change **creates value**.*

Talking About AI More Specifically

- **Prediction**: forecast demand, estimate risk, predict churn, anticipate no-shows
- **Recommendation**: Suggest next best action, product, content, or intervention.
- **Matching**: Match people to jobs, leads to reps, or cases to experts.
- **Generation**: Draft text, summarize, translate, create first versions.
- **Automation**: Route requests, trigger steps, escalate exceptions.

Managerial discipline

Instead of saying “we should use AI,” say “we want to use AI for prediction / matching / generation / recommendation / automation in this workflow.”

Quick Check: What Exactly Is the AI Here?

Case A

An HR system ranks résumés before a recruiter reviews them.

Case B

A bank flags potentially suspicious transactions in real time.

Case C

A sales team uses an assistant to draft follow-up emails after meetings.

Case D

A hospital predicts which patients are likely to miss appointments.

Think For each case: What is the output? What kind of AI work is being done? What workflow is being improved?

02

Second, move from concept to value

The real question is not whether AI is impressive. The question is where it improves a task, a decision, or a workflow that matters.

Why AI Matters Now for Managers

- Models are stronger and more general-purpose than before.
- AI is easier to access through everyday applications rather than specialist tools.
- The current wave affects knowledge work, not only technical automation.
- The managerial question is no longer whether people have heard of AI; it is how work and judgment will be reorganized around it.

AI is not only an IT topic. It affects process design, roles, expertise, coordination, governance, and the economics of decision making.

How AI Creates Business Value

Better prediction

More accurate forecasting, scoring, or risk estimation.

Better matching

More targeted pairing of people, products, content, or cases.

Faster processing

Less time spent on search, summarization, or first drafts.

More consistency

Reduced variation in repetitive decisions or communication.

New possibilities

Personalization, new service models, or new analytical capability.

Important qualifier

An AI tool does not create value by itself. Value comes when the tool improves a meaningful task, decision, handoff, or workflow.

Where AI Usually Fits Best

Better candidates for AI support

- High-volume and repetitive work
- Pattern recognition across large data
- Standardized screening or prioritization
- Summarization and information compression
- First-draft generation
- Routine matching or routing

More cautious / more human-led

- Ambiguous judgment with weak data
- Trust-sensitive communication
- Emotionally complex interaction
- Exception handling
- Value-laden or highly accountable decisions
- Final evaluation where context matters more than scale

A Simple Human–AI Role Allocation Lens

1) Repetitive or variable?
   The more repetitive the task, the stronger the AI case.

2) Data-rich or context-heavy?
   AI is stronger when there is enough structured signal to learn from.

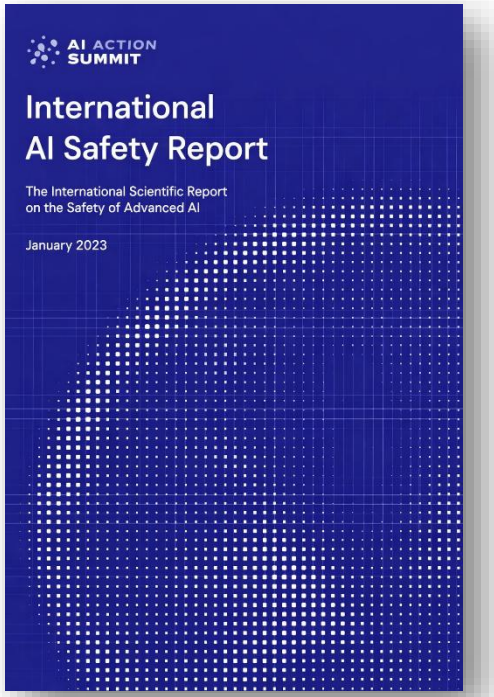
3) How important is speed?
   AI often helps most when time pressure matters.

4) How important is consistency?
   Standardization often increases the value of AI assistance.

5) Cost of error?
   The higher the downside, the stronger the need for human review.

Connect AI to task design, risk, and governance instead of hype

AI Safety



International AI Safety Report 2025

The inaugural International AI Safety Report, published in January 2025, is the first comprehensive review of scientific research on the **capabilities and risks of general-purpose AI systems**.

AI Safety

Generated by ChatGPT Thinking

03

Third, use case to discuss adoption and judgment

The next task is to move from a general opportunity lens to a concrete organizational workflow: what should AI do, what should humans still do, and why?

Case: Baidu Intelligent Recruitment

Discussion Format

- Each group takes one focal question
- 12 minutes group discussion
- 2 minutes report-out per group
- 8 –10 minutes synthesis and cross-group challenge

Required Output

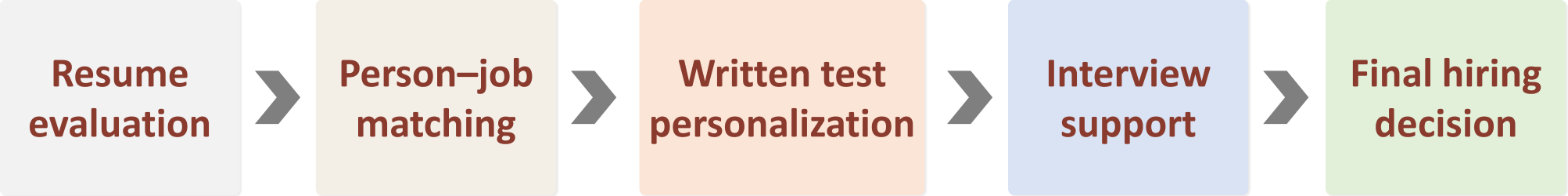
Each group should prepare **3 points only**:

- **Answer**: your group's conclusion
- **Reason**: why you think so, based on the case
- **Recommendation**: what Baidu should do next

Case: Baidu Intelligent Recruitment

1. Where does AI create the most value in Baidu's recruitment process?
2. Which recruitment tasks should be led by AI, and which should remain human-led?
3. What are the main risks or limitations of intelligent recruitment at Baidu?
4. Why might some firms resist intelligent recruitment, and how should Baidu or other firms manage adoption?
5. Looking beyond efficiency, what broader impact will intelligent recruitment have on jobs, organizations, and society?

Case: Baidu Intelligent Recruitment



Managerial observation

AI is embedded across multiple tasks in the workflow—not just one stand-alone chatbot or one dashboard.

Case: Baidu Intelligent Recruitment

What does the Baidu case teach us about AI adoption?

- AI creates value when embedded in a specific workflow
- Not all recruitment tasks should be treated the same
- Good AI adoption requires role clarity between AI and humans
- Implementation is not just technical; it is also organizational
- Efficiency alone is not enough; firms must also consider fairness, trust, and job redesign

04

Finally, turn the logic into your group project

A good AI opportunity is not “AI for company X.” It is “AI for this problem, in this workflow, to improve this outcome.”

Group Project

One company

A real company you can understand and analyze

One focal MIS

Not the whole organization; one important system or workflow

One specific problem

An IS-related pain point that clearly matters

Realistic AI adoption

Basic model logic, adoption, risks & limitations

Clear value

Better decision, speed, quality, or experience

Your project is strongest when the AI idea is **focused**, **realistic**, and directly tied to a selected MIS and a **concrete problem** – not a list of unrelated AI possibilities.

Group Project

Weak / too broad	Stronger / more project-worthy
• “Tencent should use AI.”	○ “Use AI to improve WeChat merchant support ticket triage and routing.”
• “Use ChatGPT to improve everything.”	○ “Use AI to predict inventory exceptions in a retailer’s supply-chain MIS.”
• “Add AI customer service.”	○ “Use AI to support insurance claims document review before human approval.”
• “Use AI to become more efficient.”	○ “Use AI matching to improve internal talent allocation in a recruitment workflow.”

Summary

1. Do not ask, “How can we use AI?” Ask, “Where in this workflow can AI improve decision quality, speed, matching, or execution?”

2. AI adoption is not just a technology issue; it is also a management issue involving task design, human–AI role allocation, trust, and implementation

3. For your project, avoid broad AI ambition. Define one specific problem in one core MIS or workflow, then identify one focused and realistic AI opportunity

AI Use Disclosure

- AI was used to assist with idea generation, slide structuring, wording revision, and teaching-note drafting
- The instructor selected the content, reviewed and revised the outputs, and ensured alignment with course objectives and class needs
- All final judgments on accuracy, relevance, and teaching design were made by the instructor